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Viavi Solutions (VIAV)
Durable Growth Meets a Demanding Discount Rate

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Market consensus projects roughly 16% revenue CAGR on the telecom recovery, the AI capex cycle, and defense spending. But at a live CAPM discount rate near **9.9%**, our DCF puts the base case at **$40** and the blended value at **$38**, about 16% below the current price. We rate VIAV **Hold** on dual-cycle durability.

Hold	$38	$45.54	$53
RATING	BLENDED TARGET (25/50/25)	CURRENT PRICE	BULL-CASE TARGET

$1.52B	~16%	20.6%	$83M	~$100M	246.75M
FY2026 REVENUE, +40% YOY	CONSENSUS 3-YR REVENUE CAGR	NON-GAAP OP MARGIN FY2026	FY2026 FREE CASH FLOW	NET DEBT	SHARES OUTSTANDING

Investment thesis

VIAV is a good business with two simultaneous tailwinds. Network and Service Enablement rides the 800G to 1.6T data-center upgrade wave, with the core data-center business excluding Spirent more than doubling year over year, while aerospace and defense, about 17% of NSE revenue plus the OSP defense and anti-counterfeiting base, rides a defense supercycle. Qualification-led selling and sticky test workflows give the franchise a genuine moat, and the Spirent high-speed Ethernet acquisition consolidates VIAV against Keysight in Ethernet test.

The growth story is intact, but the discount rate has moved against it. With the 10-year near 5.25% and a 1.27 beta, live CAPM gives a discount rate of about 9.9%, and at that rate the bull case, 20% annual revenue growth with 28% free cash flow margins, is worth $53, above the $45.54 market price. The market is paying for perfection at the moment when perfection is discounted hardest. Dual-cycle durability is the reason we are Hold rather than Sell: two independent growth engines make the top-line path more achievable than a single-cycle comp, and shorting into both supercycles is poor risk/reward.

> **The margin assumption does the heavy lifting.** FY2026 free cash flow was about $83M, a 5.5% margin. The base case applies a 25% FCF margin from FY2027 onward, an immediate step-change that assumes R&D intensity fades and software mix rises on schedule. If that normalization slips, the $40 base case is at risk.

Bear: $19

Telecom recovery stalls and the cycles digest. Revenue grows 8% annually, FCF margins reach 18%, terminal growth 2.0%. Roughly the historical floor.

Base: $40

Consensus path. Revenue grows 16% annually on dual-cycle demand, FCF margins normalize to 25%, terminal growth 3.0%.

Bull: $53

Supercycle extends. Revenue grows 20% annually, FCF margins reach 28%, terminal growth 3.0%. Above the market price.

Valuation: three-scenario DCF

We value VIAV on a five-year discounted cash flow from the FY2026 base of $1.52B, applying each scenario's target free cash flow margin across FY2027-31 with a Gordon-growth terminal value. The discount rate is a dynamic live CAPM, about 9.9%, applied across all three scenarios. Net debt of roughly $100M and 246.75M shares outstanding bridge enterprise value to the per-share targets.

ASSUMPTION	BEAR	BASE	BULL
Revenue CAGR, FY2027-31	8.0%	16.0%	20.0%
Target FCF margin	18.0%	25.0%	28.0%
Terminal growth rate	2.0%	3.0%	3.0%
Discount rate (live CAPM)	~9.9%	~9.9%	~9.9%
FY2031 revenue	$2.23B	$3.19B	$3.78B
Year 5 free cash flow	$402M	$798M	$1.06B
Enterprise value	$3.69B	$7.61B	$9.92B
Implied share price	**$19**	**$40**	**$53**

What the price implies

At $45.54, the market sits below our $53 bull case, which already grants VIAV 20% annual revenue growth and 28% free cash flow margins. The price still demands near bull-case outcomes at a 5.25% 10-year: a longer supercycle, structurally higher margins than the best test-and-measurement comp has printed, or a takeout premium. Our $38 blended target (25/50/25) sits about 16% below the market.

We stay Hold rather than Sell because the two-cycle setup is genuinely unusual. The AI capex cycle and the defense supercycle are independent growth engines, and either one alone could carry the top line if the other pauses. That durability, plus scarcity value as a pure-play optical and network test asset and momentum from the AI infrastructure trade, argues against pressing a short here even at a full price.

Revenue, FY2026	**$1.52B (+40% YoY)**
Q4 FY2026 revenue	**$443.1M (+52.5% YoY)**
Q1 FY2027 guide	**$450-460M revenue**
Non-GAAP EPS guide	**$0.40-0.42**
Spirent HSE contribution	**$145M FY2026**
Inertial Labs contribution	**$86M FY2026**
Q4 share offering	**12.8M shares at $45**
Use of proceeds	**Term Loan B repaid**

Method. Five-year DCF off FY2026 actuals; target FCF margin applied across FY2027-31; Gordon terminal on FY2031 FCF. Discount rate is dynamic live CAPM: 5.25% 10-year + 1.27 beta x 3.63% ERP = ~9.9%, applied across scenarios, same convention as our Axon model. Share count 246.75M; net debt ~$100M. Note the model assumes the FCF margin step-change arrives in FY2027 rather than ramping; a two-year delay to the 25% margin would cut roughly $4-5 from the base case. Not investment advice and for entertainment purposes only.

What would make us more constructive

1.6T and co-packaged optics run longer. If the optical upgrade cycle extends past FY2028 without digestion, the bull-case 20% revenue path proves conservative and the $53 bull case moves up.

Software mix shift. A faster move to AIOps and recurring assurance licenses would expand gross margins toward the mid-60s and structurally raise the FCF ceiling.

Margin normalization arrives early. Faster R&D leverage or Spirent synergies would validate the 25% FCF margin and de-risk the base case.

Takeout. Test-and-measurement consolidation logic is proven. A strategic buyer could pay well above our DCF, though that is a call option, not a valuation.

Risks

Higher for longer. The 10-year touched 5.34% intraday today. Every further 50bp of sustained rate rise cuts roughly $2-3 from the base case through the discount rate alone.

Customer concentration. Roughly half of NSE revenue now touches the data-center ecosystem, leaving VIAV exposed to hyperscaler capex decisions.

Keysight. The 800-pound gorilla competes with massive scale and 20%+ FCF margins today. VIAV's niche focus is a defense, not a guarantee.

Cyclical digestion. Telecom and data-center capex has a long history of pause years. A single digestion year breaks the 16% compounding the price requires.

Margin execution. The model grants a near-immediate jump from 5.5% to 25% FCF margins. Any slippage in R&D leverage or Spirent integration hits the base case directly.

KPIs we are watching

- **Book-to-bill ratio** in NSE. Above 1.0 confirms the backlog is still building; below 1.0 is the first sign the cycle is digesting.
- **Contracted backlog** in aerospace and defense and multi-year assurance subscriptions, the ballast against telecom cyclicality.
- **Software and service revenue mix.** The leading indicator for whether gross margins can genuinely march toward the mid-60s.
- **Free cash flow conversion.** FY2026 printed 5.5%; the path to 25% needs to show up in operating cash flow, not just non-GAAP EPS.

Hold: durability against the math

Our live-rate DCF values VIAV at $38 blended, 16% below the market, with the $53 bull case above $45.54. We stay Hold rather than Sell because dual-cycle top-line durability, scarcity value, and takeout optionality argue against pressing a short into two supercycles. Flip to Sell if rates push durably higher or the margin ramp slips; upgrade if the 25% FCF margin lands early.

$38

BLENDED TARGET

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